SEAGATE TECHNOLOGY HOLDINGS PLC

Nasdaq: STX | Hard drives for data centres and the edge | Incorporated in Ireland; principal executive office in Singapore

Tommy Lau | 2 November 2026 | Initiation of coverage | Independent research

NO CALL	**Target price:** None (no call)	**Last price:** US$644.58 (Nasdaq close, 30 October 2026)	**Upside:** Base value US$529 (-18%)

Seagate's drives are allocated through 2028, but at US$645 the price needs today's record price per terabyte to become the normal.

Seagate makes the high-capacity hard drives that cloud and AI data centres use to keep their data. It grows by packing more terabytes into each drive, not by making more drives, and it says the vast majority of its data centre supply is allocated through 2028. In the quarter to 2 October it earned a 57.8% gross margin, a record, on revenue up 61%.

The shares are 41% below their June high, and trade at 9.9 times consensus fiscal 2028 earnings. That looks cheap, but hard drives are cyclical. On my method the price needs normal earnings of US$42.74 a share after the shortage. At my margin that means a normal price of US$18.09 per terabyte, above the US$17.42 of the last quarter, the highest yet.

My call: NO CALL, low conviction. My base case is worth US$529, down 18%, inside my band. The bear case is US$249 (down 61%) and the bull case US$889 (up 38%). The view leans short, but prices are set and rising through 2027.

Stock data

LAST PRICE
US$644.58, Nasdaq close 30 October 2026; 52-week range US$228.61 to 1,145.00 (intraday)

MARKET VALUE
About US$148bn on 230m shares; net debt US$1,125m

NON-GAAP P/E
41.4x FY26; 16.1x FY27 and 9.9x FY28 consensus; 16.6x and 12.0x my estimates

CONSENSUS (STOCKANALYSIS.COM)
EPS US$39.98 FY27, US$65.34 FY28

Q2 FY27 GUIDE (27 OCT)
Revenue US$4.8bn; EPS US$9.20; operating margin towards the mid 50s %

SUPPLY
Vast majority of data centre nearline supply allocated through 2028; prices set through 2027

FISCAL YEAR
Ends on the Friday nearest 30 June: FY26 to 3 Jul 2026; FY27 to 2 Jul 2027

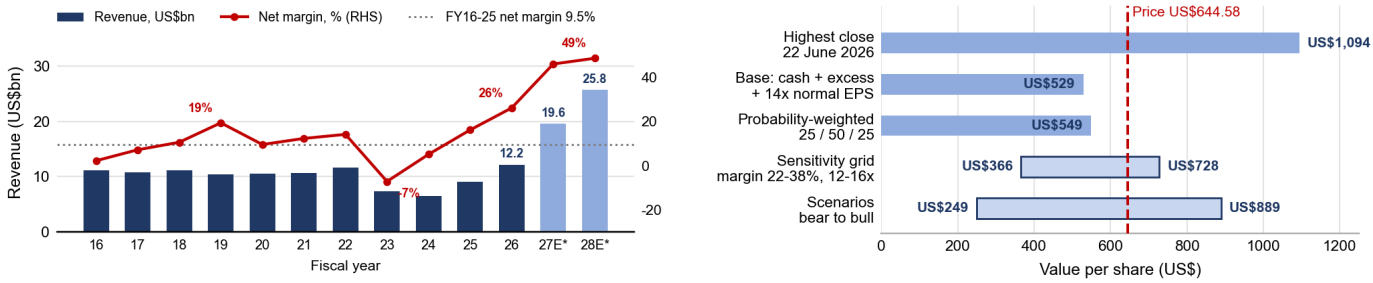
NEXT RESULTS
Q2 FY27, expected late January 2027; date not yet announced

Key financials (non-GAAP unless marked; FY26 ended 3 July 2026, FY27 ends 2 July 2027)

US$ billion unless stated	FY25A	FY26A	Q1 FY27A	Q2 FY27 guide	FY27E*	FY28E*	Normal year*
Revenue	9.10	12.20	4.23	4.8	19.63	25.77	26.10
Revenue growth (%)	39	34	61		61	31	
Nearline exabytes	497	695	198				1,697
Price per nearline TB (US$)	13.67	14.08	17.42				13.91
Operating margin (%)	23.4%	36.5%	50.7%	mid 50s	55.0%	58.0%	
Net margin (%)	19.1%	29.0%	42.1%		46.0%	48.6%	30.0%
EPS, diluted (US$)	8.10	15.58	7.68	9.20	38.79	53.74	33.61
Consensus EPS (US$)					39.98	65.34	
P/E at US$644.58 (x)	80	41.4			16.6	12.0	19.2

**FY27E is Q1 actual, the Q2 guide and my Q3 and Q4; FY28E and the normal year are my own estimates. Price per nearline terabyte is my derived ratio: Data Center revenue over nearline exabytes, from Seagate's supplementals. FY25 growth is on GAAP FY24 revenue. Consensus from stockanalysis.com (S&P Global data, updated 29 October 2026). History from Seagate's releases of 28 July and 27 October 2026 and its supplementals.*

Two charts: a cycle at its highest, and a value below the price

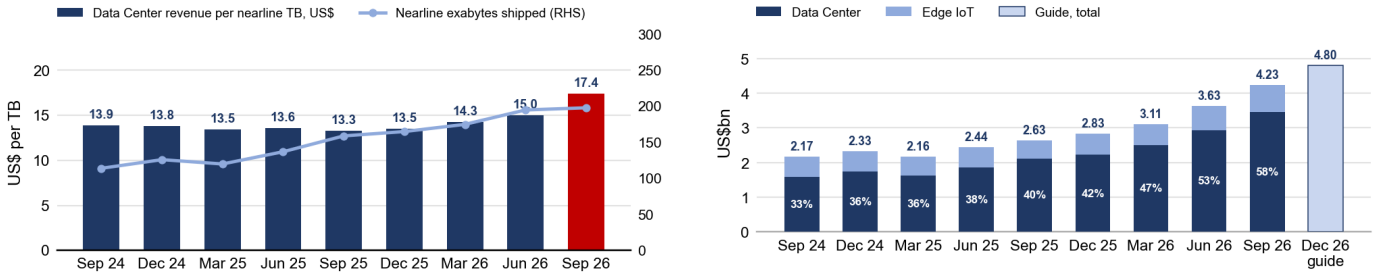


Left: revenue and net margin by fiscal year; GAAP to FY26 (Seagate 10-K data via SEC EDGAR), my non-GAAP estimates for FY27 and FY28. Right: value per share from the base case, the probability-weighted cases, the sensitivity grid and the bear to bull range, against the US$644.58 price (red) and the highest close of the past year.

The thesis: the removals firm that will not buy more vans

Think of a removals firm with a fixed fleet. As bookings grow, it does not buy more vans; it packs each one tighter, and customers book their move a year or more ahead. For two years that meant more boxes at the same price per box. Now the firm is also charging more per box. The question for an investor is whether that lasts once a rival buys more vans.

More terabytes, not more drives. Seagate shipped 198 exabytes of nearline drives in the quarter to 2 October, up about 24% on a year, and 695 in fiscal 2026 against 497 the year before. In the December 2025 quarter it shipped 26% more exabytes than a year earlier "on similar number of units". On 27 October it said it meets exabyte growth "by increasing capacity per drive rather than increasing drive unit production", and on the call it put capital spending at 4 to 6% of revenue, enough for exabyte supply growth in the mid 20s %. Its HAMR drives, which heat each bit with a laser so it can be smaller, carry that density.



Left: Data Center revenue per nearline terabyte (my derived ratio; the red bar is the latest quarter) and nearline exabytes shipped, by quarter ending. Right: revenue by end market, with non-GAAP gross margin in white, and the Q2 FY27 guide. Source: Seagate supplementals, 28 October 2025 to 27 October 2026; FY25 quarters on the definition that includes VIA customers.

The horizon lengthened. Seagate said its nearline supply was allocated through 2026 in January, largely through 2027 in April, and on 27 October that the "vast majority" of data centre nearline supply is allocated through 2028, with some cloud agreements to 2030. My piece put Seagate on the watch list for exactly this: a few qualified makers, booked years ahead, but growing without a new building. The supplementals and filings support every figure the piece used.

Now the price moves too. From late 2024 to early 2026, Data Center revenue per nearline terabyte held between US$13.30 and US$14.29. In the last two quarters it rose to US$15.04 and then US$17.42, up 31% on a year. Seagate said pricing rose faster than before, mainly by repricing contracts, and that it now passes higher component costs through. That is what pushed the gross margin from 40.1% to 57.8% in a year, and why it guides US$4.8bn and EPS of US$9.20 for the December quarter.

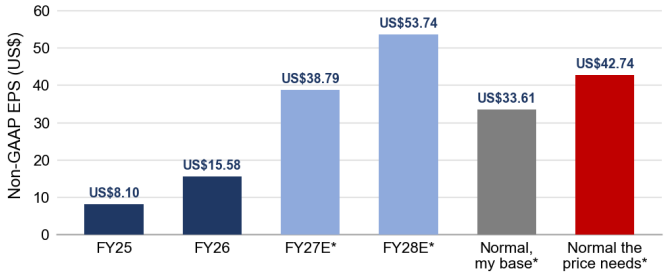
The piece left one question unanswered. Allocated is not priced. Seagate's build-to-order contracts set configuration and price for nearline shipments through calendar 2027 only. It expects to start finalising 2028 prices over the next few quarters. The horizon in my chart is a horizon of volume; the price on its last year is still open, and that is the year the share price now depends on.

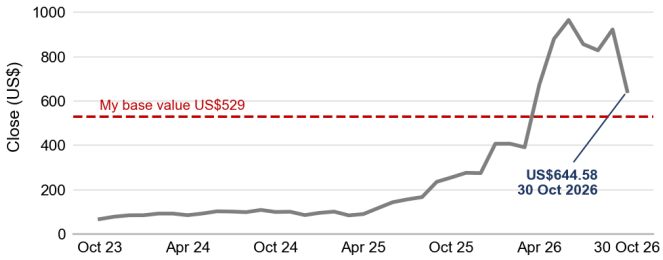
Variant perception: what the market prices in, and where I differ

At US$644.58 Seagate is worth about US$148bn. The shares trade at 16.1 times fiscal 2027 consensus of US$39.98, 9.9 times fiscal 2028 consensus of US$65.34, and 17.5 times the December quarter guide annualised. They closed at a high of US$1,094.04 on 22 June 2026 and fell 30% in October alone. They fell 10.2% on 2 October, the day Toshiba said its Philippine

drive plant had begun making nearline drives on an expanded line and aims to nearly double that plant's annual capacity, measured in storage, by fiscal 2027 against fiscal 2025.

Hard drives are priced as steadier than flash. Seagate and Western Digital trade at 16.1 and 14.8 times 2027 consensus; the flash makers Sandisk and Micron at 5.1 and 5.0 times. The market already believes three makers, long contracts and no new factories make this cycle milder than memory's. I agree it is milder. The question is how much milder.





Left: non-GAAP EPS, reported for FY25 and FY26, my estimates for FY27 and FY28, my base normal year, and the normal year the price needs on my method. Right: STX month-end close, October 2023 to the 30 October 2026 close (stockanalysis.com, retrieved 2 November 2026), against my base value.

What the price needs. I value the cycle, not the year: net cash at October 2027, plus the earnings above normal still to come, plus 14 times normal earnings. On my base fiscal 2028, US$644.58 needs normal EPS of US$42.74, 2.7 times fiscal 2026 and 80% of my fiscal 2028. On my normal revenue that is a 38.2% net margin, against 29.0% in fiscal 2026 and a ten-year GAAP average of 9.5%. Put another way, at my 30% margin it needs a normal price of US$18.09 per terabyte at the scale of 2030.

Where I differ. My normal year lets nearline exabytes grow 25% a year for four years, to 1,697 exabytes, at the US$13.91 per terabyte Seagate averaged over fiscal 2025 and 2026. That average was not a glut price: by January 2026, with the price still near it, Seagate had already allocated its output a year ahead. I give it a 30% net margin, slightly above fiscal 2026, because each HAMR generation cuts the cost of a terabyte. The market assumes the 2026 price rise survives Toshiba's added Philippine capacity and the next round of contracts. It may: no maker is building a drive factory. That is why I do not go short.

Valuation, with the working

Fiscal 2027 is the first quarter, the guide, then US$5.15bn and US$5.45bn at operating margins of 57% and 58%, with 16% tax on 233m shares: EPS US$38.79, 3.0% below consensus. Fiscal 2028 lets exabytes grow 25% and the price per terabyte 5%, at a 58% operating margin: EPS US$53.74, 17.8% below consensus, because 2028 prices are not yet set. Free cash flow of about US$9.2bn over the next twelve months turns net debt of US$1,125m into net cash of about US$31.64 a share by October 2027. The fiscal 2028 excess over normal, and half of it again in 2029, discounted at 10%, adds US$26.62; 14 times normal EPS of US$33.61 adds US$470.52. Total: US$529.

Scenarios: three cases, twelve months out

Case	What happens	FY28 EPS	Normal EPS	Normal P/E	Value	Change	Weight
Bear	2028 contracts reprice 10% lower as Toshiba's capacity ships; normal price per TB 20% below the two-year average	US$38.08	US$16.52	12x	US$249	down 61%	25%
Base	Prices firm through FY28, half the excess in FY29; normal at the FY25 and FY26 price per TB	US$53.74	US$33.61	14x	US$529	down 18%	50%
Bull	2028 prices rise again; the last quarter's US$17.4 per TB becomes the normal	US$62.94	US$52.19	16x	US$889	up 38%	25%
Weighted	**25 / 50 / 25**				**about US$549**	**down 15%**	

Normal revenue: bear US$21.4bn at a 18% margin; base US$26.1bn at 30%; bull US$32.0bn at 38%. Fiscal 2027 and the cash at October 2027 are the same in all three on purpose: 2027 prices are set in contracts, so a price turn shows from fiscal 2028. The bear is not fanciful: revenue fell 37% in fiscal 2023, and the shares are already 41% off their June high. The band: long when my base value is at least 15% above the price, short when it is at least 25% below, no call in between.

Sensitivity: normal net margin against the multiple on normal earnings

Normal net margin	12x	14x	16x
22%	US$366	US$415	US$464
30%	US$462	**US$529**	US$596
38%	US$557	US$642	US$728

One of the nine cells sits above the price: it needs both a 38% normal margin and 16 times. The cell with 38% and 14 times sits just below it, at US$642. Four cells sit 25% or more below the price: every cell at 22%, and 30% at 12 times. Normal revenue, fiscal 2028 and the cash are as in the base. Every figure is live in the accompanying model.

Peer landscape

Company	Listing	P/E on consensus	Year	What they make
Seagate	Nasdaq: STX	16.1x	FY to Jul 2027	Hard drives (nearline and other)
Western Digital	Nasdaq: WDC	14.8x	FY to Jun 2027	Hard drives (nearline and other)
Sandisk	Nasdaq: SNDK	5.1x	FY to Jun 2027	NAND flash and SSDs
Micron	Nasdaq: MU	5.0x	FY to Aug 2027	DRAM, HBM, NAND flash

Price over consensus EPS for the year ending in 2027, from stockanalysis.com (S&P Global), retrieved 2 November 2026; Nasdaq closes of 30 October 2026. Western Digital earned a 58.1% non-GAAP gross margin in the quarter to 2 October and guides 60.5% for the next (release, 22 October 2026). Toshiba, the third hard drive maker, has been privately held since December 2023. Multiples only; no view on the peers' shares.

Catalysts

When	Event	What I watch
late January 2027 (not yet announced)	Q2 FY27 results	Revenue against US$4.8bn; price per terabyte; any 2028 prices set
Next few quarters	Calendar 2028 build-to-order terms	Whether 2028 prices are set above 2027's
March 2027 quarter	Buybacks step up (call)	US$4.4bn left on the authorisation
Toshiba FY2027 (April 2027 to March 2028)	Toshiba's Philippine plant capacity nearly doubled on fiscal 2025	Shipments, and any price cutting to fill it
Late calendar 2027	Mozaic 5 qualification shipments	Cost per terabyte, and how far supply can stretch

Risks: what would hurt the view

On the upside, durability. Seagate says it is talking to customers well past 2028, and some cloud agreements already run to 2030. If 2028 prices are set above 2027's and the 2029 book fills in the same way, the normal year moves towards my bull case, up 38%. Flash, the obvious substitute, is short and dear too: Micron said on 30 September that its NAND prices rose by about 30% in a single quarter. **On the downside, supply.** Toshiba is adding capacity now, and every maker sees the same price signal. Seagate's revenue fell 37% in fiscal 2023, the last downturn.

Execution and costs. HAMR needs longer manufacturing cycle times and more tooling, and Seagate said scrap and yield losses during transitions weigh on costs. External component costs are much higher than a year ago. Inventory rose to US$1.70bn from US$1.57bn in the quarter as it prepared manufacturing for Mozaic 4 qualifications. **Double ordering.** Buyers in a boom book early and sometimes twice, and allocation does not prove use.

What would change my mind

Into a long: a price at or below about US$460 with my numbers unchanged. **Into a short:** a price at or above about US$705.

The view is wrong if, by October 2027, Seagate's supplementals show Data Center revenue per nearline exabyte below the same quarter a year earlier, or Seagate says calendar 2028 nearline prices are lower than calendar 2027's, which points to my bear case; or Seagate says the vast majority of its calendar 2029 nearline supply is allocated and that calendar 2028 prices are set above calendar 2027's, which lifts normal earnings towards my bull case.

Conclusion

My piece put Seagate on the watch list: few makers, booked years ahead, but growing without a new building. Its results support that, and add something the piece did not have: the price per terabyte is up 31% in a year. The shares are a different question. At 9.9 times consensus fiscal 2028 they look cheap, but the price needs that rise to become the normal at the scale of 2030. Base value US$529, down 18%, range US$249 to US$889. My call: NO CALL, leaning short, low conviction.

Appendix: forecast assumptions

Assumption	FY27E	FY28E	Normal	Basis
Revenue, US$bn	19.63	25.77	26.10	Q1, Q2 guide, then 5.15 and 5.45; FY28 EB +25%, price +5%; normal 1,697 EB at US$13.91 plus Edge IoT 2.5
Operating margin	55.0%	58.0%		Q2 implied by the EPS guide; 'gross margin to keep expanding'
Net margin	46.0%	48.6%	30%	Normal: FY26 29.0%; FY16-25 GAAP 9.5%
Tax rate	16%	16%		Guided about 16%
Diluted shares, m	233	233	233	Q2 guide held; buybacks treated as cash kept
Capex, share of revenue	5%	5%		Guided 4% to 6% for FY27
Multiple, discount rate			14x, 10%	Mine

Full workings, with live formulas, in the accompanying model, 2026-11-02_Seagate_Model.xlsx.

Sources

Seagate fiscal Q1 2027 results release, Exhibit 99.1 to Form 8-K, 27 October 2026, and its Supplemental Financial Information of the same date, for revenue, margins, net income, EPS, cash flow, debt, shares, exabytes, Data Center revenue, supply allocation and the Q2 FY27 guide. Seagate supplementals of 28 October 2025, 27 January 2026 and 28 April 2026. Seagate fiscal Q4 and fiscal 2026 results release, Exhibit 99.1 to Form 8-K, 28 July 2026, and Form 10-K for the year to 3 July 2026. Seagate earnings call of 27 October 2026, Seagate's corrected transcript (FactSet CallStreet) at investors.seagate.com, for build-to-order terms, exabyte growth, capital spending, pricing, costs and buybacks. Form 10-Q for the quarter to 2 October 2026 for inventory. Seagate 10-K data via SEC EDGAR for fiscal 2016 to 2026. Western Digital fiscal Q1 2027 release, Exhibit 99.1 to Form 8-K, 22 October 2026. Toshiba Electronic Devices & Storage news release on Toshiba Information Equipment (Philippines), 2 October 2026. Micron prepared remarks, 30 September 2026. Share prices from stockanalysis.com daily history, retrieved 2 November 2026; consensus and peer figures from stockanalysis.com, retrieved 2 November 2026. Estimates for fiscal 2027 and 2028, normal earnings and the valuation are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests the Seagate part of my journal piece, the claim of 30 October 2026 and its watch list, thephysicallayer.fyi/journal/the-chip-supply-chain; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Seagate. Personal research, not investment advice.

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